

there is no central hub where the transaction data is stored. All details of the transaction in the blockchain is retained on the entire network, thereby ensuring the history is not in control of one person. This ensures complete security.

In case of a traditional system, we would have a trusted middle party ensuring the authenticity of data, just like a centralised ledger.

Therefore, we can say that blockchain allows for faster, safer and cheaper transfer of money as compared to traditional systems.

Basic idea of how it works:

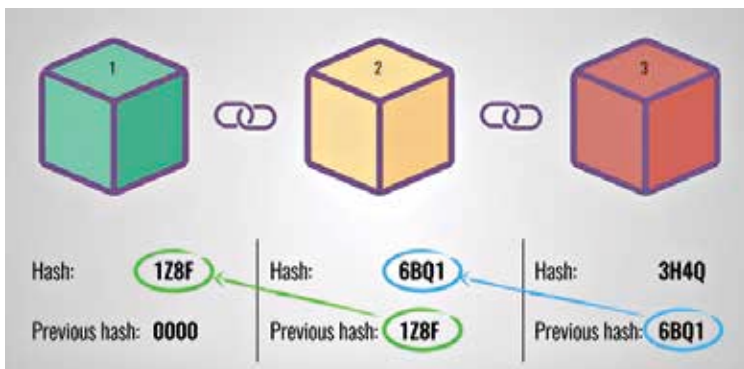
Blockchain as the name suggest, is basically a chain of blocks that contains information.

Each block contains some data, the hash of the block and the hash of the previous block.

The data that is stored inside the block, depends on the type of blockchain. For example, a bitcoin blockchain stores the details about transactions like the sender, receiver and the amount of coins.

A block also has a Hash. You can compare a hash to a fingerprint. It identifies a block and all of its contents and it's always unique, just like a fingerprint. Once a block is created, its hash is being calculated. Changing something inside the block will cause the hash to change. If the fingerprint of the block changes, it is no longer is the same block.

The third element inside each block is the hash of the previous block. This creates a chain of blocks effectively and it is this technique that makes blockchain so secure.



A simple blockchain